

ORIGINAL

BEFORE THE FEDERAL MARITIME COMMISSION

AL KOGAN d/b/a GALAWAY
INTERNATIONAL,

Complainant,

v.

WORLD EXPRESS SHIPPING,
TRANSPORTATION AND FORWARDING
SERVICES, INC., an Illinois corporation,
d/b/a W.E S T FORWARDING SERVICES
(FMC Lic # 3 118-R),

Respondent.

FEB 20 1998

FEDERAL MARITIME COMMISSION

Docket No. 00-04

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COMPLAINT

FEDERAL MARITIME COMMISSION

I. The Complainant was a sole proprietorship consisting of Al Kogan, individually, d/b/a Galaway International, engaged in the business of exporting goods, mostly to the countries of the Commonwealth of Independent States at the times relevant to this Complaint. Galaway International was subsequently incorporated as an Illinois corporation in August of 1998. Complainant's principal place of business is 114 Harvard Court, Glenview, Illinois, 60025, USA.

II. The Respondent is an Illinois corporation, World Express Shipping, Transportation and Forwarding Services, Inc., d/b/a W.E S T Forwarding Services, engaged in the freight forwarding and shipping business as both an ocean freight forwarder and a non-vessel operating carrier (NVOCC), with its principal place of business at 729 Route 83, Suite 307, Bensenville, Illinois, 60106, USA, and registered with the Federal Maritime Commission as FMC Lic. #3 118-R.

III. The Federal Maritime Commission has jurisdiction in this matter pursuant to 46 USC Section 1701 et seq., and 46 CFR Chap IV, Section 501 2(a), for WEST Forwarding at all times relevant to this Complaint acted as Al Kogan's ocean freight-forwarder and/or his NVOCC for the shipment of container number ZCSU214858-0, which left Chicago, Illinois, on or about February 26, 1998, for shipment to the Russian market through Kotka, Finland.

IV That the following occurred by and between Complainant and Respondent:

A. On or about early February, 1998, W.E S T Forwarding entered into an oral contract by telephone with Al Kogan to ship a 40-foot container, numbered ZCSU214858-0, carrying 2359 cases of auto care products, to Moscow, Russia, via Kotka, Finland ("The Container"), for a set price of \$5,440.10, including insurance This contract is evidenced by WEST Forwarding's own invoice # CHE-030492 (Appendix 1 attached hereto) issued on 03/16/98 and forwarded to Al Kogan at Galaway International.

B Al Kogan specifically made it known to W E S T Forwarding at the time of making the oral contract referenced in paragraph A, above, that the Container must go through Kotka, Finland, for customs clearance and arrive in Moscow in 35 days in order for his client in Moscow to accept the goods The Container was to travel by truck from Kotka to Moscow and be delivered to Galaway's client there Shipping time from Chicago to Kotka, Finland, was expected to take the normal 25 days It was fully explained in detail by Al Kogan to WEST Forwarding at the time of making the oral contract referenced in paragraph A, above, that, due to the ground transportation environment in the Commonwealth of Independent States at that time, this specific instruction concerning the Kotka routing was an integral part of the oral contract for

ocean freight forwarding services, which W.E S T Forwarding fully accepted. WEST also assured Al Kogan at the time that it would be responsible for the shipment "door-to-door," and that Al Kogan needed only to purchase the insurance that WEST offered on the shipment for protection, which Al Kogan did.

C WEST Forwarding at all times after accepting the oral contract with Al Kogan referenced in paragraph A, above, controlled the entire transaction concerning the Container as an agent of Al Kogan, including the choice of all intermediaries, including NVOCC's, and all documentation involved. At no time did Al Kogan ever direct or otherwise indicate what intermediary should be chosen by WEST Forwarding, nor did he ever communicate with WEST Forwarding concerning this transaction, other than only to determine, during the numerous delays, the location of the Container and the estimated arrival time in Kotka, Finland, and as otherwise set forth in this Complaint.

D On or about February 26, 1998, W.E S T Forwarding began shipping the Container from the Chicago area under the terms of the oral contract previously reached with Al Kogan by arranging to have the goods picked up at Treatment Products, Ltd., the manufacturer of the goods, at 4710 West Augusta Boulevard in Chicago, Illinois WEST then shipped the Container to New York and let it sit there for a week while they looked for the cheapest ocean freight charges they could find in order to increase their margin on the transaction. This delay was already compromising the 35-day schedule previously promised.

E On or about March 7, 1998, WEST Forwarding failed to ship the Container pursuant to its agreement with Al Kogan, as outlined in paragraph A, above. Instead, it caused the Container to be shipped through New York to Haifa, Israel (with Odessa,

Ukraine, as the next port of call), instead of to Kotka, Finland, to get to Moscow. At all relevant times, WEST Forwarding knew or should have known that the Container was being shipped on an ocean vessel of the Zim Lines, the Israeli state carrier, which does not call at Kotka, Finland. Prior to the shipment to Haifa, WEST Forwarding argued over the price quoted to them by the NVOCC they chose in New York, Atlantic Ocean Lines ("AOL"). The shipping charges on AOL to Moscow, through Kotka, would have cost WEST forwarding \$4,835.00, but by choosing this less expensive new route through Haifa and Odessa, to Moscow, for \$4,335.00, WEST Forwarding was able to ensure that it would receive at least a \$200 margin on the \$4,535.00 in ocean freight costs it already charged to Al Kogan. This was in addition to the \$50 margin it already received on the U S inland freight, and the \$139.36 margin it received on the sale of the insurance. Together with an added \$100 in "forwarding charges" and \$55 in "courier charges," WEST Forwarding was set to receive a \$544.36 margin on this \$5,440.10 transaction. On March 18, 1998, after the Container left for Haifa, WEST Forwarding forwarded their \$4,335.00 check to AOL for the ocean freight charges for the shipment.

F When 25 days had passed since the Container left Chicago, and there was no sign of it in Kotka, and no documents on the shipment were received, Al Kogan's customer in Moscow contacted him, inquiring as to the status of the Container and its related documents. Al Kogan then contacted WEST Forwarding to find out what was going on and was told by WEST Forwarding that they would look into the status of the Container and call him back. After realizing its mistake concerning the Kotka requirement and the potential extensive damages to which it exposed Al Kogan and itself, WEST Forwarding then called Al Kogan back and told him that there was a "problem" with the shipment, that it was

on its way to Haifa, Israel. They then invited Al Kogan and Jeff Victor, Vice-President of Treatment Products, Ltd., the manufacturer of the auto care products contained in the Container, to a meeting at its offices in Bensenville, Illinois, to explain the situation. At this meeting, held in late March 1998, Jean DeKeyser, President of WEST Forwarding, clearly represented to both Al Kogan and Jeff Victor that the Container was misdirected, but could be "easily, with no problem," re-directed to Kotka, Finland, quickly and in time for Al Kogan's customer, and that there really was not much of a problem. Jean DeKeyser then went on to represent that WEST was only making "about \$80 on the deal for documentation," and that he would simply have AOL refund WEST's money and re-direct the shipment to Kotka at an additional "nominal" cost of no more than \$300, for attorney's fees, if needed, which could be equally split three ways between each of them (WEST, Kogan and Victor), as long as Al Kogan would agree to strictly follow WEST's instructions. He further stated that, if AOL would give him problems, he would take care of it and sue them. Based on these representations of Jean DeKeyser and the nominal size of the amount proposed, Al Kogan agreed to volunteer his \$100 share of the nominal expenses and follow WEST's instructions in order to facilitate the shipment back to Kotka as soon as possible. Likewise, Jeff Victor also agreed to contribute his \$100 share. At no time did Al Kogan ever agree to pay more than the \$100 additional payment, and at no time did Al Kogan ever agree that he was under any obligation whatsoever to pay anything more than the original price of \$5,440.10 for the shipment of the Container to Moscow, via Kotka, Finland. Also, curiously, Jean DeKeyser suggested at the time to Al Kogan that he agree to let the Container "disappear" for insurance purposes, but Al Kogan refused to participate in such a scheme, let alone let down his trusted customer.

G Despite its representations to Al Kogan and Jeff Victor, WEST Forwarding was not able to quickly re-ship the container from Haifa, Israel, to Kotka, Finland, in time for Al Kogan's customer to accept the goods. Instead, the Container sat in Haifa for three weeks while WEST fought with AOL over the financial arrangements for the re-direction of the Container. After talking to its attorneys, WEST began to blame AOL for all the problems and started a letter writing campaign to clear WEST's name with the Federal Maritime Commission and to seek their assistance to have the Container released in Haifa. With its financial dispute with AOL going nowhere, WEST Forwarding contacted Al Kogan and instructed him, on April 6, 1998, pursuant to their agreement reached during the earlier meeting outlined in paragraph F, above, to contact AOL directly in New York and ask them to release the Container to WEST Forwarding. When Al Kogan contacted AOL by telephone, they at first did not even know he was. After Al Kogan explained who he was and that WEST Forwarding had told him to call them, AOL insisted that WEST Forwarding was lying, and that WEST Forwarding had specifically requested that the Container be shipped through the less expensive Haifa route after they refused to pay the \$500 more to AOL for the Kotka route. The next day, April 7, 1998, WEST Forwarding instructed Al Kogan to sign a letter pre-written by WEST on Galaway stationery requesting the release of the Container from AOL to WEST itself in order to complete the shipment. Although Al Kogan was becoming increasingly disenchanted with WEST's questionable representations and delays, he felt he had no choice and followed WEST's instructions, as previously agreed, signing the pre-written letter, forwarding it to AOL, and assisting WEST in its efforts.

H. At no time during their discussions and communications concerning Al Kogan's assistance to WEST concerning the release of the Container did WEST ever mention that it would charge Al Kogan any more than the previously agreed upon \$5,440.10 plus the additional \$100 in order to complete the shipment of the Container. WEST finally did ship the Container, with itself as the NVOCC, via Antwerp, to Kotka, Finland, where it arrived in late May, 1998, over two months later than its original expected time of arrival. By the time the Container finally reached Kotka, Finland, however, Al Kogan had already lost his original customer for the goods due to WEST's delay and was forced to incur additional expenses in finding an alternate customer for the goods.

I. Despite the loss of his customer, and in order to salvage the shipment and make it easier for him to find an alternate customer, Al Kogan then requested that WEST turn over to him the bill of lading and have the Container brought to Moscow, anyway, and he would pay WEST the original \$5,440.10 for the shipment. WEST Forwarding refused and then suddenly notified Al Kogan, without the existence of any such prior agreement, that it would not release the Container in Kotka without a payment by Al Kogan of approximately \$13,000.00, plus interest, which included not only the original amount of \$5,440.10 for the shipment from Chicago to Moscow, via Kotka, (even though approximately \$2,000 of that amount represented the portion of the shipment from Kotka to Moscow which was never done), but also all alleged expenses WEST incurred in releasing and shipping the Container from Haifa, Israel, to Kotka, Finland, including WEST's own attorneys' fees, as well as a re-charging of a previously waived \$500 amount on another unrelated shipment that WEST had handled for Al Kogan, which involved an incorrect overweight charge by WEST. Despite Al Kogan's strong protests, WEST Forwarding maintained this position for three

months, until August of 1998, during which time they continued to hold the Container "hostage" in Kotka.

J In August of 1998, Al Kogan, after much expense, was able to locate an alternate customer in Chelyabinsk, Russia, who was willing to purchase the goods at a greatly discounted rate, on consignment only. At that time, Al Kogan again requested that WEST turn over the bill of lading so he could make arrangements to have the Container shipped to Chelyabinsk. Again, WEST refused to turn over the bill of lading to Al Kogan. Instead, this time WEST stated that it was only willing to release the Container for a payment, pursuant to its instructions, of \$6,340.00 to its agent in Moscow, who would deliver the goods to the new alternate customer's warehouse in Chelyabinsk. This amount was still over \$940 in excess of the original shipment price of \$5,440.10. Not having a choice, and in order to salvage at least a portion of the original transaction that was lost due to WEST's delays, Al Kogan arranged for the \$6,340 payment to be made in Moscow in August 1998, directly by the alternate customer in U S Dollars to WEST's agent in Moscow, pursuant to WEST's instructions, with the amount being deducted by the alternate customer from the new, already discounted, purchase price of the goods.

K. Instead of crediting this \$6,340 payment against Al Kogan's original \$5,440.10 bill on this shipment and closing the deal, WEST Forwarding, after receiving the payment in Moscow, continued to demand that Al Kogan pay them the full \$13,000 they earlier demanded, plus interest, without regard to the \$6,340 payment, stating that the \$6,340 charge was now only for the "new" shipment from Kotka to Chelyabinsk. In addition, to justify such an exorbitant amount for such a simple shipment, WEST proceeded to overcharge the local freight costs and add in inapplicable overweight charges for rail.

transportation of the shipment in order to manufacture an inflated invoice for the so-called “new” transaction. WEST then manufactured and turned over to Al Kogan regional bills of lading, one showing a Haifa to Moscow shipment, and another a Haifa to Chelyabinsk shipment.

L WEST Forwarding failed to even fully deliver the Container to Al Kogan’s alternate customer’s warehouse in Chelyabinsk, Russia. Instead, it abandoned the goods at a railway station, causing further credits to be charged against the already discounted purchase price of the goods, for the hauling and labor charges (including truck rental, loading and unloading) between the railway station and the warehouse incurred by the alternate customer. By the time the goods actually reached the new customer, approximately \$4,000 of physical damage was done to the goods themselves, which was further credited against the discounted purchase price.

M. Al Kogan then repeatedly requested information from WEST concerning the maritime insurance that he had originally purchased covering the goods, as well as other documentation concerning the shipment from Chicago to Chelyabinsk. Other than forwarding an incorrect insurance certificate from the original shipment documentation, WEST Forwarding refused to give any further information or to cooperate in any manner with Al Kogan concerning the insurance coverage or any other documentation involved in the shipment. Despite being on notice of the difficulties with this shipment, WEST had failed to in any way update the maritime insurance it originally purchased on the shipment for \$385.74 (for which it charged Al Kogan \$525.10). Therefore, based on the limited information contained on the old certificate, Al Kogan could only contact directly the London insurance company listed on the certificate, Black Sea and Baltic General Insurance

e Company Limited. Al Kogan was then refused coverage by that company on the grounds of a lack of documentation and unreasonable delay in notification of damage based on the old, unmodified information on the insurance certificate

N Despite the \$6,340 payment already made to WEST for this shipment (again, over \$940 in excess of the original amount), and the severe damages sustained by Al Kogan in this matter, including, but not limited to, the loss of his client in Moscow and the regular revenue flow derived therefrom, expenses related to finding an alternate customer, a severe reduction in the eventual sales price of the goods from their original purchase price, the loss of the use of a substantial amount of the goods themselves, demurrage, storage and freight charges, and the loss of business reputation, WEST Forwarding has continued to harass Al Kogan and demand that he pay \$13,000 in additional alleged charges, plus interest. In fact, WEST has gone so far as to file a collection action in the Municipal Department of the Circuit Court of Cook County, Illinois, to recover the alleged \$13,000 amount, with interest. Al Kogan has responded in that case by filing a \$250,000 counter-claim for breach of contract and breach of fiduciary duty, in response to which WEST Forwarding has, inter alia, filed false affidavits alleging that Al Kogan specifically requested that WEST Forwarding hire AOL as an intermediary in his shipment, that WEST worked only at the direction of Al Kogan, that Al Kogan offered to pay all expenses, and that WEST had issued previous invoices to Al Kogan. This state court case is presently pending at the time of the filing of this Complaint. Hence, Al Kogan, in addition to legal fees, expenses and costs related to this Complaint in the Federal Maritime Commission, has been forced to incur state court legal fees, expenses and costs on account of WEST's insistence on demanding in state

court that he pay this unauthorized, unjustified and unsubstantiated \$13,000.00 amount, plus interest.

V That by reason of the facts stated in the foregoing paragraphs, Complainant has been (and is being) subject to injury as a direct result of the violations by Respondent of the following:

1 46 USC Section 1709 (b)(1), which states

No common carrier, either alone or in conjunction with any other person, directly or indirectly, may charge, demand, collect, or receive greater, less or different compensation for the transportation of property or for any service in connection therewith than the rates and charges that are shown in its tariffs or service contracts

46 USC Section 1709 (b)(1) WEST, in its capacity as an NVOCC, subjected, and is continuing to subject, Al Kogan to charges well beyond that which it would normally charge in such circumstances As outlined in paragraph IV (J), above, Al Kogan was forced to pay more than the original \$5,440.10 quoted by WEST for the Chicago-Kotka-Moscow shipment, and, as outlined in paragraphs IV (K) and (N), above, WEST has even excessively charged for the Kotka-Chelyabinsk portion of the re-directed shipment, while still demanding monies for a now non-existent Kotka-Moscow portion of the shipment.

2 46 USC Section 1709 (b)(5), which states

No common carrier, either alone or in conjunction with any other person, directly or indirectly, may retaliate against any shipper by refusing, or threatening to refuse, cargo space accommodations when available, or resort to other unfair or unjustly discriminatory methods because the shipper has patronized another carrier, or has filed a complaint, or for any other reason.

46 USC Section 1709 (b)(5) As an NVOCC, WEST clearly unfairly and unjustly discriminated against Al Kogan, first in delaying the shipment to Kotka, causing Al Kogan to lose his customer (see paragraphs IV (G) and (H), above), and second, by

refusing to release the container in Kotka for the original price of the shipment to aid Al Kogan in salvaging the transaction (see paragraphs IV (I) and (J), above), causing Al Kogan to incur demur-rage charges and the damages and costs related to the eventual delivery of the goods, and forcing him to pay more than the original \$5,440.10 that WEST had quoted, as well as to be subject to continuing claims from WEST for unjustified additional monies WEST, as an NVOCC, clearly acted in this retaliatory and discriminatory manner, essentially holding the Container hostage in Kotka, out of selfishness and greed when confronted with the realization that it could not easily recover its own costs for the earlier mistakes it had made in this shipment.

3 46 USC Section 1709 (b)(6)(E), which states

No common carrier, either alone or in conjunction with any other person, directly or indirectly, may, except for service contracts, engage in any unfair or unjustly discriminatory practice in the matter of the adjustment and settlement of claims

46 USC Section 1709 (b)(6)(E) In holding the Container hostage in Kotka (see paragraphs IV (I) and (J), above), WEST, as an NVOCC, engaged in unfair and discriminatory practices designed to give it an unjustified advantage in the adjustment and settlement of the claims involved with this shipment, causing Al Kogan damages as described in Section IV (N), above In addition, WEST's attempt to pad its invoices by \$500 by reversing a previously granted waiver on another shipment and its false and inflated billing in regard to the Kotka-Chelyabinsk leg of the shipment (see paragraphs IV (I), (J) and (K), above), clearly evidence unfair and unjust discriminatory practices in the adjustment and settlement of the claims involved in this shipment, causing Al Kogan to be further subjected to unjustified invoices as well as all the fees, costs and expenses involved in defending himself in WEST's state court collection proceedings

4 46 USC Section 1709 (12), which states

No common carrier, either alone or in conjunction with any other person, directly or indirectly, may subject any particular person, locality, or description of traffic to an unreasonable refusal to deal or any undue or unreasonable prejudice or disadvantage in any respect whatsoever

46 USC Section 1709 (12) In holding the Container hostage in Kotka (see paragraphs IV (I) and (J),above) as a bargaining chip in its unjustified attempt to recover the costs of its own previous mistakes with the shipment from Al Kogan, WEST, as an NVOCC, subjected Al Kogan to an unreasonable refusal to deal, as well as undue and unreasonable prejudice, causing Al Kogan damages as described in Sections IV(N) & V(1)-(3), above

5 46 USC Section 1709 (d)(1), which states

No common carrier, ocean freight forwarder, or marine terminal operator may fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property

46 USC Section 1709 (d)(1)

a. In failing to properly execute this shipment as originally agreed upon, in holding the Container hostage in Kotka as a bargaining chip in its unjustified attempt to recover the costs of its own previous mistakes with the shipment from Al Kogan, in improperly billing Al Kogan throughout the shipment and refusing to cooperate with him, and in failing to properly bill and deliver the Container to the alternate destination of Chelyabinsk as agreed upon (see paragraphs IV (A) to (N), above), WEST, as both an NVOCC and ocean freight forwarder, failed to establish, observe, and enforce just and reasonable practices relating to or connected with receiving, handling, storing, or delivering property, causing Al Kogan damages as described in Sections IV (N) and V (1) to (3), above

b In addition, in 1998, the relevant time period of this Complaint, 46 USC Section 1709 (d)(1) was applied to ocean freight forwarders, and, where appropriate, NVOCC's, by way of 46 USC Section 1716 and 46 CFR, Chap IV, Subpart C (1998), entitled "Duties and Responsibilities of Freight Forwarders, Forwarding Charges, Reports to Commission." The following sections of that Subpart C are applicable to this matter:

(i) Section 510.21 (f), which states

False or fraudulent claims, false information. No Licensee shall prepare or file or assist in the preparation or filing of any claim, affidavit, letter of indemnity, or other paper or document concerning a forwarding transaction which it has reason to believe is false or fraudulent, nor shall any such licensee knowingly impart to a principal, common carrier or other person, false information relative to any forwarding transaction.

46 CFR, Chap IV, Subpart C, Section 510.21 (f) (1998) On numerous occasions, WEST has violated the provisions of Section 510.21 (f), above, causing damage to Al Kogan as described in Sections IV (N) and V (1) to (3), above

First, many of the various bills of lading that WEST negotiated with Atlantic Ocean Lines clearly indicate false information showing the Container going on the ZIM Shipping Lines through Kotka, when ZIM Shipping does not call at Kotka, which WEST Forwarding knew or should have reason to believe is false See Section IV (E), above

Second, the WEST invoice for the shipment of the Container forwarded to Al Kogan on or about March 16, 1998 (see Appendix 1, attached hereto), indicates that the originally agreed upon "Kotka" shipment was going on a ZIM Shipping Lines vessel to Kotka, which WEST knew or should have had reason to believe was false, for ZIM Shipping does not call at Kotka.

Third, the WEST invoice for the shipment of the Container lists the cost of insurance for the shipment as \$525 10, when WEST knew this to be false See Appendix 1, attached hereto, and Sections IV (E) and (M), above

Fourth, the West invoice for the shipment of the Container lists the cost of inland freight as \$225 00, when WEST knew this to be false See Section IV (E), above

Fifth, the WEST invoice for the shipment of the Container lists the cost of ocean freight as \$4,535.00, when WEST knew this to be false See Sections IV(E)&(G), above

Sixth, WEST knew, or had reason to believe, that the representations made by its president, Jean DeKeyser, to Al Kogan at their meeting at WEST Forwarding's offices on or about late March 1998, as well as subsequent discussions up to and including August 1998 concerning the shipment of the Container, as outlined in Sections IV (F) to (N), above, were false

Seventh, WEST knew, or had reason to believe, that a number of the charges and fees, as outlined in Sections IV (I) to (N), above, claimed by WEST before they were willing to release the Container in Kotka, as well as those subsequently charged to Al Kogan for the shipment of the Container to Chelyabinsk from Kotka, were false

Eighth, WEST knew, or had reason to believe, that the subsequent bills of lading it created concerning the Container were false See Section IV (K), above

Ninth, WEST knew, or had reason to believe, that its collection claim filed in the Circuit Court of Cook County, Illinois, as outlined in Section IV (N), above, was false and unjustified.

Tenth, WEST knew, or had reason to know, that the affidavit, dated September 7, 1999, filed by its employee Faith Krzeminski in the Circuit Court case, as outlined in

Section IV (N), above, claiming that Al Kogan specifically requested that Atlantic Ocean Lines be used by WEST, that WEST acted only at the direction of Al Kogan, and that Al Kogan offered to pay all expenses, was false

Eleventh, WEST knew, or had reason to know, that the undated affidavit, tiled on or about November 30, 1999, by employee Faith Krzeminski in the Circuit Court case, as outlined in Section IV (N), above, claiming that invoices were issued by WEST to Al Kogan d/b/a Galaway International on earlier shipments, was false

(ii) Section 5 10 22 (b), which states

Withholding information. No licensee shall withhold any information concerning a forwarding transaction from its principal.

46 CFR, Chap IV, Subpart C, Section 510 22 (b) (1998) On numerous occasions, as outlined in Sections IV (I), (J) and (M), above, WEST withheld information concerning the forwarding transaction from Al Kogan, its principal, causing Al Kogan damages as described in Sections IV (N) and V (1) to (3), above

(iii) Section 5 10.22 (c), which states

Due diligence. Each licensee shall exercise due diligence to ascertain the accuracy of any information it imparts to a principal concerning any forwarding transaction.

46 CFR, Chap IV, Subpart C, Section 510 22 (c) (1998) WEST Forwarding failed to exercise due diligence pursuant to Section 5 10 22 (c) in ascertaining the accuracy of information imparted to Al Kogan, its principal, concerning, inter alia, the following matters (i) the ocean freight portion of the shipment of the Container, by failing to cross-check information involving the ports of call of ZIM Shipping Lines, the vessel listed on the various bills of lading issued on or about March 7, 1998, concerning the shipment of the Container (see Section IV (E), above), (ii) the immediate forwarding of

the Container to Kotka once the Container was discovered in Haifa, by failing to make necessary payments to ensure that the expedited arrangements were made on time, and failing to inform Al Kogan in any way of WEST's intentions concerning reimbursement of expenses once the Container arrived in Kotka (see Sections IV (G) to (I), above), and, (iii) the charges and fees charged to Al Kogan throughout this matter, whether by invoice or otherwise, by failing to specifically verify and substantiate each and every charge and fee (see Sections IV(E) to (N), above) Such failures by WEST to exercise due diligence pursuant to Section 5 10 22 (c), caused Al Kogan damages as described in Sections IV (N) and V (1) to (3), above

(iv) Section 5 10 22 (d), which states in relevant part:

Errors and omissions. Each licensee shall comply with the laws of the United States and any involved State, Territory, or possession thereof, and shall assure that to the best of its knowledge there exists no error, misrepresentation in, or omission from any export declaration, bill of lading, affidavit, or other document which the licensee executes in connection with a shipment.

46 CFR, Chap IV, Subpart C, Section 510 22 (d) (1998) Clearly, in violation of Section 5 10 22 (d), above, WEST failed to assure the following, causing Al Kogan damages as described in Sections IV (N) and V (1) to (3), above (i) that the bills of lading for the shipment of this Container, issued on or about March 7, 1998, were in error, for the bills of lading issued on or about March 7, 1998, listed a vessel from a shipping line that did not call at the port of Kotka (see Section IV (E), above), (ii) that the bills of lading issued in August of 1998 were entire misrepresentations, for Al Kogan, as the original principal, never negotiated nor authorized such separate and additional shipments to be charged to Al Kogan d/b/a Galaway International (see Section IV (A) to (N), above), (iii) that the

invoices produced throughout this shipment contained numerous errors, as detailed in Sections IV (A) to (N), above, and, (iv) that the affidavits of WEST's employee Faith Krzeminski contained misrepresentations, as detailed in Sections IV(N) & V(b)(1), above

(v) Section 5 10 22 (g), which states, in relevant part:

Invoices; documents available upon request. Upon request of its principal, each licensee shall provide a complete breakout of the components of its charges and a true copy of any underlying document or bill of charges pertaining to the licensee's invoice

46 CFR, Chap IV, Subpart C, Section 5 10 22 (g) (1998) As outlined in Sections IV (a) to (N), above, in violation of Section 510 22 (g), above, WEST failed both to substantiate its invoice charges and to provide true copies of its underlying documents for its invoices when requested by Al Kogan, its principal, causing Al Kogan damages as described in Sections IV (N) and V (1) to (3), above

(vi) Section 5 10 22 (j), which states

Accounting to principal. Each licensee shall account to its principal(s) for overpayments, adjustment of charges, reductions in rates, insurance refunds, insurance monies received for claims, proceeds of c.o.d. shipments, drafts, letters of credit, and any other sums due such principal(s)

46 CFR, Chap IV, Subpart C, Section 510 22 (j) (1998) In violation of Section 510 22 (j), WEST failed to ever account to its principal, Al Kogan, for the overpayments, adjustments of charges, reductions in rates, insurance refunds, and any other sums due Al Kogan, outlined in Sections IV (A) to (N), above, causing Al Kogan damages as described in Sections IV (N) and V (1) to (3), above

(vii) Section 5 10.23 (a), which states

Disclosure of principal. The identity of the shipper must always be disclosed in the shipper identification box on the bill of lading.

The licensee's name may appear with the name of the shipper, but the licensee must be identified as the shipper's agent.

46 CFR, Chap IV, Subpart C, Section 510 23 (a) (1998) On information and belief, as evidenced in Section IV (G), above, WEST failed to fully disclose the identity of Al Kogan as the shipper of the Container with its dealing with Atlantic Ocean Lines In addition, on information and belief, WEST failed to fully disclose Al Kogan as the shipper of the Container, with itself as Al Kogan's agent, on shipping documentation with other parties involved throughout this shipment. See Sections IV (G) to (N), above In violating Section 5 10 23 (a), above, WEST caused Al Kogan damages as described in Sections IV (N) and V (1) to (3), above

(viii) Section 5 10 23 (f), which states

Duplicative compensation. A common carrier shall not pay compensation for the services described in Section 5 10 23 (c) more than once on the same shipment. [Services described in Section 5 10 23 (c) include (i) engaged, booked, secured, reserved, or contracted directly with the carrier or its agent for space aboard a vessel or confirmed the availability of that space, and (ii) prepared and processed the ocean bill of lading, dock receipt, or other similar document with respect to the shipment.]

46 CFR, Chap IV, Subpart C, Section 510 23 (f) (1998) As outlined in Sections IV (A) to (N), above, due to the billing practices of WEST involved in this transaction, compensation for services described in Section 5 10 23 (c) were paid three separate times for this shipment, in violation of Section 5 10 23 (f), causing Al Kogan damages as described in Sections IV (N) and V (1) to (3), above

(ix) Section 5 10 23 (h), which states

A freight forwarder may not receive compensation from a common carrier with respect to any shipment in which the forwarder has a beneficial interest or with respect to any shipment in which any

holding company, subsidiary, affiliate, officer, director, or executive of such forwarder has a beneficial interest.

46 CFR, Chap.IV, Subpart C, Section 5 10 23 (h) (1998) In violation of Section 5 10 23 (h), above, WEST, as a freight forwarder, received a form of compensation from itself as an NVOCC when it added additional unauthorized charges to the original shipment and held the container hostage in Kotka, as outlined in Sections IV (I) to (N), above, causing Al Kogan damages as described in Sections IV (N) and V (1) to (3), above

6 Section 46 U S C Section 1710 (g), in regard to reparations, interest, attorneys fees, expenses and costs, is applicable to this matter

VI. That Complainant has been injured in the following manner: To its damage in the sum of \$250,000.00, plus attorneys fees, expenses and costs in the related state court case as described in paragraph IV (N), above, plus interest and attorneys fees, expenses and costs in this Federal Maritime Commission action.

Prayer for Relief

VII. WHEREFORE, Complainant prays that Respondent be required to answer the charges herein, that after due hearing, held in Chicago, if possible, an order be made commanding said Respondent: to cease and desist from the aforesaid violations of said Act; to establish and put in force such practices as the Commission determines to be lawful and reasonable, to pay to said Complainant by way of reparations for the unlawful conduct hereinabove described the sum of \$250,000.00, with interest and attorney's fees and costs or such other sum as the Commission may determine to be proper as an award of reparation, and that such other and further order or orders be made as the Commission determines to be proper in the premises

Dated at Chicago, Illinois, this 24th day of February, 2000.

Respectfully submitted,

AL KOGAN d/b/a
GALAWAY INTERNATIONAL

Al Kogan
AL KOGAN
GALAWAY INTERNATIONAL
114 Harvard Court
Glenview, IL 60025

By attorney of Complainant,

Jonathan Clark Green
Jonathan Clark Green
JONATHAN CLARK GREEN, P.C.
350 North LaSalle Street, Suite 800
Chicago, IL 60610-4798
(312) 494-1000

VERIFICATION

State of Illinois)
)
County of Cook) ss

AL KOGAN, doing business as Galaway International, being first duly sworn on oath, deposes and says that he is the Complainant and is the person who signed the foregoing Complaint; that he has read the Complaint and that the facts stated therein, upon information received from others, affiant believes to be true

SUBSCRIBED and SWORN to
before me this 24th day
of February, 2000.

Marian K. Johnson
Notary Public





FMG 318-R
CHB 14827

WORLD EXPRESS SHIPPING, TRANSPORTATION AND FORWARDING SERVICES INC. D/B/A
W.E.S.T. FORWARDING SERVICES
HUD OFFICE: 728 ROUTE 83, SUITE 307, BENSONVILLE, IL 60106 (630) 787-0360 FAX (630) 787-0377

0330-192C

GALLAWAY INTERNATIONAL CO
114 HARVARD COURT
GLENVIEW, ILL 60023

INVOICE NO. CHE-030492

DATE 03/16/98

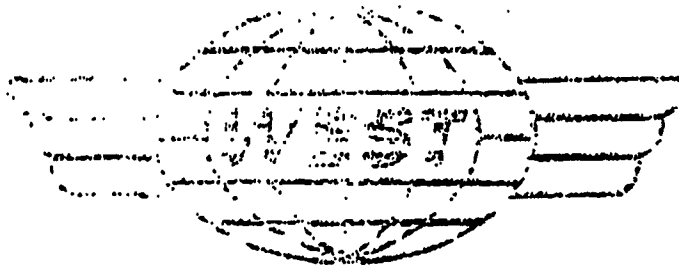
ACCOUNT NO. BALLA

SHIPPER/CUSTOMER REF.	SL#
VESSEL OR CARRIER NAME ZIM JAPAN V.21	HWS#

DESCRIPTION AND/OR ENCLOSURES

	AMOUNT
CE OCN FREIGHT	4535.00
CE INLAND	225.00
CE FORWARDING	100.00
MESSENGER/COURIER	55.00
CE INSURANCE	523.10

INVOICE TOTAL



If you are the importer of record, payment to the broker will not relieve you of liability for Customs charges in the event the charges are not paid by the broker. Therefore, if you pay by check, Customs charges may be paid with a separate check payable to the "U.S. Customs Service."

PAYABLE UPON PRESENTATION

FILE

CC: 020/030

BEFORE THE FEDERAL MARITIME COMMISSION

AL KOGAN d/b/a GALAWAY
INTERNATIONAL,

Complainant,

v.

WORLD EXPRESS SHIPPING,
TRANSPORTATION AND FORWARDING
SERVICES, INC , an Illinois corporation,
d/b/a W E S T FORWARDING SERVICES
(FMC Lic # 3 11 S-R),

Respondent.

SERVED

MAR 1 2000

FEDERAL MARITIME COMMISSION

RECEIVED
00 FEB 25 11 2:20
FEDERAL MARITIME COMMISSION

NOTICE OF DEPOSITION

TO W E S T Forwarding Services
729 Route 83, Suite 307
Bensenville, Illinois 60106

PLEASE TAKE NOTICE that the deposition of JEAN DEKEYSER., president of Respondent W E S T FORWARDING SERVICES, in the above-captioned case has been scheduled to be taken, pursuant to the Rules of the Federal Maritime Commission and the Federal Rules of Civil Procedure, on Monday, March 27, 2000, at the following time and place listed below, by an attorney for the Complainant Al Kogan d/b/a Galaway International, before a notary public or some other officer authorized by law to administer oaths

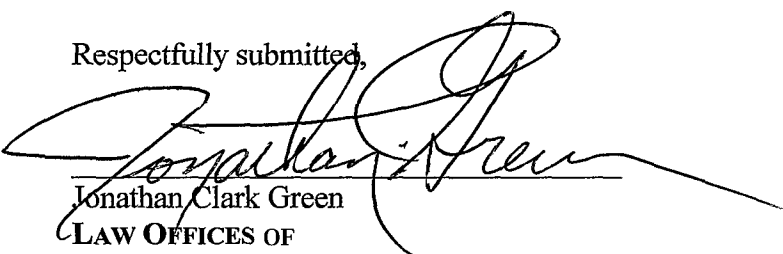
9 00 a.m.

LAW OFFICES OF JONATHAN CLARK GREEN, P.C.

350 North LaSalle Street, Ste 800

Chicago, IL 60610-4798

Respectfully submitted,


Jonathan Clark Green

LAW OFFICES OF

JONATHAN CLARK GREEN, P.C.

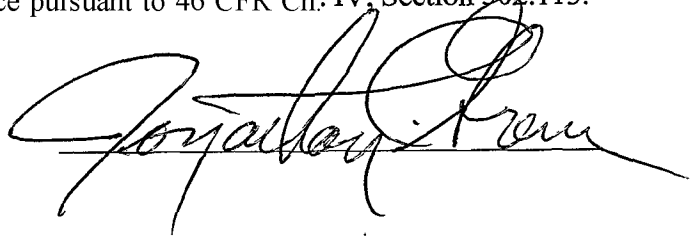
350 North LaSalle St., Suite 800

Chicago, IL 60610-4798

(312) 494-1000

CERTIFICATE OF SERVICE

The undersigned, being first duly sworn upon oath, deposes and states that a copy of the foregoing NOTICE OF DEPOSITION for Jean DeKeyser was filed, by U.S. mail, proper postage prepaid, on 24 February 2000, with the Secretary of the Federal Maritime Commission, together with Complainant's original Complaint, for service pursuant to 46 CFR Ch. IV, Section 502.113.

A handwritten signature in black ink, appearing to read "Jonathan P. Kru", written over a horizontal line.

SUBSCRIBED and SWORN to
before me this 24th day
of February, 2000

Notary Public

cc: 020/030

BEFORE THE FEDERAL MARITIME COMMISSION:

AL KOGAN d/b/a GALAWAY
INTERNATIONAL,

Complainant,

v

WORLD EXPRESS SHIPPING,
TRANSPORTATION AND FORWARDING
SERVICES, INC , an Illinois corporation,
d/b/a W E S T FORWARDING SERVICES
(FMC Lic # 3 118-R),

Respondent.

SERVED

MAR 1 2000

FEDERAL MARITIME COMMISSION

RECEIVED
MAR 1 2:23
FEDERAL MARITIME COMMISSION

NOTICE OF DEPOSITION

TO W E S T Forwarding Services
729 Route 83, Suite 307
Bensenville, Illinois 60106

PLEASE TAKE NOTICE that the deposition of FAITH KRZEMINSKI, employee of Respondent W E S T FORWARDING SERVICES, in the above-captioned case has been scheduled to be taken, pursuant to the Rules of the Federal Maritime Commission and the Federal Rules of Civil Procedure, on Monday, March 27, 2000, at the following time and place listed below, by an attorney for the Complainant Al Kogan d/b/a Galaway International, before a notary public or some other officer authorized by law to administer oaths

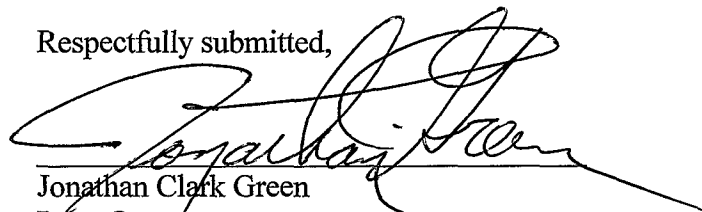
12 00 p m.

LAW OFFICES OF JONATHAN CLARK GREEN, P.C.

350 North LaSalle Street, Ste 800

Chicago, IL 60610-4798

Respectfully submitted,



Jonathan Clark Green

LAW OFFICES OF

JONATHAN CLARK GREEN, P.C.

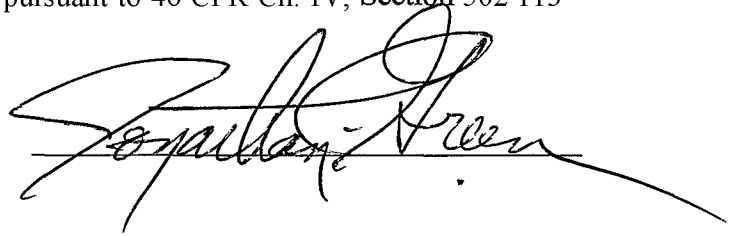
350 North LaSalle St., Suite 800

Chicago, IL 60610-4798

(3 12) 494-1000

CERTIFICATE OF SERVICE

The undersigned, being first duly sworn upon oath, deposes and states that a copy of the foregoing NOTICE OF DEPOSITION for Faith Krzeminski was filed, by **U.S. mail**, proper postage prepaid, on 24 February 2000, with the Secretary of the Federal Maritime Commission, together with Complainant's original Complaint, for service pursuant to 46 CFR Ch. IV, Section 502.113

A handwritten signature in black ink, appearing to read "Faith Krzeminski", written over a horizontal line.

SUBSCRIBED and SWORN to
before me this 24th day
of February, 2000

Notary Public

cc: 020/030

BEFORE THE FEDERAL MARITIME COMMISSION

AL KOGAN d/b/a GALAWAY
INTERNATIONAL,

Complainant,

v

WORLD EXPRESS SHIPPING,
TRANSPORTATION AND FORWARDING
SERVICES, INC , an Illinois corporation,
d/b/a W.E S T FORWARDING SERVICES
(FMC Lic # 3 118-R),

Respondent.

SERVED

MAR 1 2000

FEDERAL MARITIME COMMISSION

RECEIVED
FEB 28 PM 2:23
IDENT: 17-237-3
MAR 1 11:26 AM

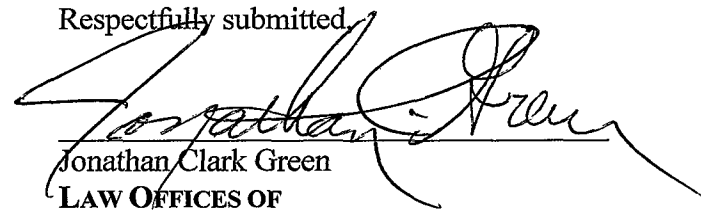
NOTICE OF DEPOSITION

TO WEST Forwarding Services
729 Route 83, Suite 307
Bensenville, Illinois 60106

PLEASE TAKE NOTICE that the deposition of PETER JANETZKI, employee of Respondent WEST FORWARDING SERVICES, in the above-captioned case has been scheduled to be taken, pursuant to the Rules of the Federal Maritime Commission and the Federal Rules of Civil Procedure, on Monday, March 27, 2000, at the following time and place listed below, by an attorney for the Complainant Al Kogan d/b/a Galaway International, before a notary public or some other officer authorized by law to administer oaths

3 00 p m.
LAW OFFICES OF JONATHAN CLARK GREEN, P.C.
350 North LaSalle Street, Ste 800
Chicago, IL 60610 O-4798

Respectfully submitted,



Jonathan Clark Green
LAW OFFICES OF
JONATHAN CLARK GREEN, P.C.
350 North LaSalle St., Suite 800
Chicago, IL 60610-4798
(312) 494-1000

CERTIFICATE OF SERVICE

The undersigned, being first duly sworn upon oath, deposes and states that a copy of the foregoing NOTICE OF DEPOSITION for Peter Janetzki was filed, by **U.S. mail**, proper postage prepaid, on 24 February 2000, with the Secretary of the Federal Maritime Commission, together with Complainant's original Complaint, for service pursuant to 46 CFR Ch. IV, Section 502.113.

A handwritten signature in black ink, appearing to read "Peter Janetzki", written over a horizontal line.

SUBSCRIBED and SWORN to
before me this 24th day
of February, 2000

Notary Public